GRADE 11 / Economics / English

Price elasticity and related markets

01 Understand

Learning goals: Calculate price elasticity of demand • Interpret an elastic response • Connect a cost change to a related market

Price elasticity of demand measures how responsive quantity demanded is to a price change, other things equal. Use the magnitude of percentage change in quantity divided by percentage change in price.

Using original-value percentages, an elasticity greater than 1 is elastic; less than 1 is inelastic; equal to 1 is unit elastic. State the method used because different percentage conventions can produce different results.

Markets are linked. A rise in a key input price can increase production costs and reduce product supply, other things equal. A product's own price change is a movement along its demand curve.

Illustrative notebook market: original-value percentage method

Measure	Before	After	Percentage change
Price	R10	R11	+10%
Quantity demanded	100	80	−20%
Total revenue	R1 000	R880	−12%

02 Follow the reasoning

Use the table to calculate price elasticity of demand and explain the revenue change.

1. Price change = (11 − 10)/10 × 100 = 10%. Quantity change = (80 − 100)/100 × 100 = −20%.

2. Elasticity magnitude = 20/10 = 2. Demand is elastic over this change using the stated method.

3. Revenue falls from 10 × 100 = R1 000 to 11 × 80 = R880 because the proportional quantity fall exceeds the price increase.

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Practise with purpose

03 Try before checking

Use paper or your notebook. Show your reasoning. For written responses, use evidence and explain your choices. Suggested time: 15–20 minutes.

1. Price rises 5% and quantity demanded falls 2%. Calculate elasticity magnitude.

2. Classify the demand response in question 1.

3. Explain how a rise in paper prices can affect notebook supply.

04 Check and correct

1. 2/5 = 0.4.

2. Inelastic, because the elasticity magnitude is less than 1.

3. Paper is an input. Higher input costs can reduce notebook supply, shifting its supply curve left, other things equal.

Common mistake to avoid

Calculate percentage changes before dividing. Dividing raw quantities by rand amounts does not give price elasticity.

Reflect and revisit

Identify one correction in your own words. Attempt a similar question tomorrow without looking at the guide. If you are still unsure, take your attempt to a teacher or tutor.

Coverage and sources

CAPS topic focus: Microeconomics: price elasticity; relationships between markets

DBE CAPS, Grades 10–12: Economics. Section 3 content and skills. This is a focused supplement, not a complete syllabus or prescribed literature replacement.

Open the official DBE curriculum reference

Content and visuals: original SmartBridge FET. AI-assisted authoring; subject-teacher and language-specialist review pending. Report an issue with the pack ID eco-11.